AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies

B291

Financial Accounting

MTA Makeup

2024-2025 / Spring Semester

Version A

22-April-2025

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Number of Exam Pages: 3 (including this cover sheet)	Time Allowed: 2 Hours

Instructions:

1- Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
2- Mobile phones must be in "SWITCHED **OFF"** mode throughout the examination.
3- This is a **CLOSED** book examination. NO documents of any kind are allowed.
4- You **MUST** answer the questions using only the answer booklets provided.
5- You **MUST** return the examination paper together with your answer booklets.
6- Do **NOT** write your answers in pencil except for graphs/sketches.
7- Students are **NOT** allowed to use any type of dictionary or mobile phones during the examinatio
8- Students are allowed to use ***non-programmable*** calculators only (if needed).
9- Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.

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Question 1:

i. Explain the various kinds of financial and capital markets. Also, discuss the nature and role of financial markets.

ii. Efficient market hypothesis (EMH) has received a lot of attention since its inception. What is meant by EMH? Briefly discuss the forms of market efficiency and identify which market efficiency is assumed to exist.

[Marks: (12 + 12) = 24]

Question 2:

During March 2023, the following changes in XZ inventory took place:

Date	Explanation	Units	Unit Cost
March 5	Balance	1400	$20
8	Purchased	800	18
15	Purchased	1000	22
18	Sold	1600	30
19	Purchased	400	24

Perpetual inventories are maintained.

Required:

Calculate Cost of sales, Cost of ending inventory, and Gross profit for item XZ under the following methods:

1- FIFO

2- LIFO

[Marks: (13+13) = 26]

Question 3:

A business buys a delivery van for $60,000 on 1st January 2022. Its estimated useful life in the business is 4 years, after which it will be sold for an estimated residual value of $4000.

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Required:

Prepares tables showing the carrying amounts brought down and carried down and the depreciation expense for each of the four years of useful life using:

1. a. Straight line method of depreciation
   b. Reducing balance depreciation
2. Assume a business disposed of a delivery van on 1st January 2024 for $28,000. Calculate the loss/gain on the disposal under a straight line and also reducing-balance method.

[Marks: (8 + 8 + 8) = 24]

Question 4:

Mr. Ali has started business as a trader on 1 October, 2023. The following transactions and events of trading for his first month are as follows:

Date	***Transaction***
1	Started the business by introducing $600,000 into the business bank account.
2	Rent is paid by cheque $20,000 for the month.
8	Mr. Ali paid $40,000 in cash for a van.
10	Mr. Ali purchased goods costing $24,000 on credit from Adam (invoice no Adam123).
12	Mr. Ali sold goods for $80,000 in cash.
15	Mr. Ali sold goods for $55,000 on credit to Jack (invoice no Jack001)
24	Mr. Ali paid the amount, taking advantage of a 10% settlement discount with respect to invoice no. Adam123.
25	Jack paid to Mr. Ali, taking advantage of a 8 % settlement discount with respect to invoice no. jack001.

Required:

1- Enter the above transactions into an appropriate cash book.

2- Post the transactions *directly* to the appropriate nominal ledger accounts.

3- Prepare the trial balance as at October 31, 2023.

[Marks: (10 + 10 + 6) = 26]

End of Questions

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